

Phase III -- US-dollar investor: GCF vs the FX-adjusted FXGCF

Country	R2 (local CF)	GCF	t	R2 GCF	FXGCF	t	R2 FXGCF	N
Belgium	0.032	1.73	(1.58)	0.048	1.24	(1.84)	0.068	353
Germany	0.065	1.75	(1.60)	0.050	1.25	(1.85)	0.071	353
France	0.083	1.75	(1.62)	0.050	1.24	(1.88)	0.070	353
Italy	0.109	1.65	(1.53)	0.041	1.15	(1.73)	0.054	353
Netherlands	0.011	1.75	(1.60)	0.050	1.25	(1.86)	0.070	353
Switzerland	0.146	1.51	(1.52)	0.044	1.11	(1.83)	0.066	353
UK	0.114	1.70	(1.95)	0.070	1.07	(1.98)	0.077	353
Sweden	0.098	2.48	(1.96)	0.074	1.67	(2.17)	0.092	353
Canada	0.114	2.12	(2.85)	0.126	1.39	(2.99)	0.148	353
Japan	0.000	0.46	(0.34)	0.002	0.61	(0.79)	0.009	367
US	0.326	1.38	(4.40)	0.326	0.83	(4.08)	0.324	412

LHS: US-dollar excess return $rx_USD_{[i,t+12]}$ (Eq 11). 'R2 (local CF)' repeats the dollar return on the local factor for reference; the GCF and FXGCF blocks regress rx_USD on the global (Eq 22) and the FX-adjusted global (Eq 23) factor. HAC t-stats in (.). The US row carries no currency leg. $cor(GCF, FXGCF) = 0.99$ in this sample, so the two factors are close substitutes.